

# Steering Committee Report 05

## STEERING COMMITTEE REPORT

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Meeting: Supply Chain Steering Committee

Date: May 27, 2026

Time: 1:00 PM - 3:00 PM

Location: Operations Center Conference Room

Attendees: Amanda Foster (COO), Kevin Martinez (Program Manager), Patricia Williams (CFO),  
Richard Anderson (General Counsel), Procurement Director, IT Director

Absent: None

Minutes Prepared By: Kevin Martinez, Program Manager

Report Period: May 2026

## EXECUTIVE SUMMARY

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The Supply Chain Steering Committee met to address significant vendor performance issues with the Supply Chain Modernization project. The primary vendor, TechGlobal Solutions, has failed to deliver critical modules on schedule and is providing resources below contractual standards. The committee activated contract penalty clauses, authorized payment hold on vendor invoices, and approved evaluation of backup vendor activation. One critical escalation regarding vendor performance was discussed with formal escalation to vendor executive leadership scheduled.

## PROJECT STATUS OVERVIEW

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Project: Supply Chain Modernization

Overall Status: AMBER

Schedule Variance: -25% (Vendor delays)

Cost Variance: +12% (Delay costs)

Quality Index: 88% (Good)

## Critical Issues:

- Vendor missed Module A delivery by 3 weeks
- Vendor providing junior resources instead of senior architects
- Vendor disputing delay responsibility
- Integration complexity underestimated

## EXECUTIVE DECISIONS MADE

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Decision 1: Contract Penalty Clause Activation

Date: May 27, 2026

Decision: Activated contract penalty clauses due to vendor delivery delays and performance failures

Rationale: Vendor failed to meet contractual delivery dates and quality standards, contract enforcement required

Impact: Financial penalties applied to vendor, contract enforcement, leverage for performance improvement

Voting: Unanimous approval

Penalty Amount: \$75,000 (calculated per contract terms)

Decision Maker: Amanda Foster, COO

Decision 2: Vendor Executive Sponsor Meeting Authorization

Date: May 27, 2026

Decision: Scheduled vendor executive sponsor meeting for May 28 to address performance issues at executive level

Rationale: Operational-level vendor management insufficient, executive engagement required for resolution

Impact: Executive-level vendor engagement, performance expectations, potential relationship impact

Voting: Unanimous approval

Attendees: COO, Program Manager, Vendor C-level executives

Decision Maker: Amanda Foster, COO

Decision 3: Payment Hold Authorization on Vendor Invoices

Date: May 27, 2026

Decision: Authorized payment hold on vendor invoices until delivery confirmed and penalties applied

Rationale: Vendor attempting to avoid penalty clauses by invoicing for delayed work, need financial leverage

Impact: Financial leverage over vendor, payment disputes, contract enforcement

Voting: Unanimous approval

Decision Maker: Patricia Williams, CFO

Decision 4: Backup Vendor Evaluation Authorization

Date: May 27, 2026

Decision: Authorized evaluation and potential activation of backup vendor if primary vendor performance does not improve immediately

Rationale: Need contingency plan, timeline at risk, cannot accept continued poor performance

Impact: Vendor transition planning, potential contract termination, timeline impact

Voting: Unanimous approval

Conditions: Decision point by June 5 if performance not improved

Decision Maker: Amanda Foster, COO

## ESCALATIONS REVIEWED

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Escalation 1: Vendor Performance Failure - Critical Path Impact

Escalated By: Kevin Martinez, Program Manager

Escalation Date: May 20, 2026

Issue: TechGlobal Solutions missed Module A delivery deadline by 3 weeks, now promising June 10 delivery, causing critical path delay

Impact: Integration testing postponed, overall timeline impacted, business stakeholder concerns

Committee Action: Activated penalty clauses, scheduled executive vendor meeting, authorized backup vendor evaluation

Resolution: Vendor executive meeting scheduled May 28, performance improvement required immediately

Status: Active - Critical

Escalation 2: Vendor Resource Quality Contract Violation

Escalated By: Kevin Martinez, Program Manager

Escalation Date: May 22, 2026

Issue: Vendor assigned junior developers to architect-level roles, violating contract specifications for senior resources

Impact: Quality concerns, technical leadership gap, potential rework, contract breach

Committee Action: Formal breach notice issued, resource replacement demanded within 5 days, contract review for termination options

Resolution: Resource replacement deadline May 27, vendor response pending

Status: Active - High Priority

Escalation 3: Vendor Disputing Delay Responsibility

Escalated By: Kevin Martinez, Program Manager

Escalation Date: May 24, 2026

Issue: Vendor disputing responsibility for delays, claiming external factors beyond their control to avoid penalties

Impact: Potential litigation, payment disputes, contract enforcement challenges

Committee Action: Legal team engaged for contract assessment, documentation of all delays maintained, penalty calculation proceeding

Resolution: Legal assessment in progress

Status: Active - Medium Priority

## **FUNDING APPROVALS**

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Approval 1: Backup Vendor Evaluation Budget

Amount: \$30,000

Purpose: Evaluation of backup vendor including transition planning and cost analysis

Budget Source: Project contingency

Approval Status: Approved

Approving Executive: Patricia Williams, CFO

Approval 2: Legal Support for Vendor Dispute

Amount: \$20,000

Purpose: Legal support for vendor dispute resolution and potential litigation

Budget Source: Legal department budget

Approval Status: Approved

Approving Executive: Richard Anderson, General Counsel

## **RESOURCE APPROVALS**

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Approval 1: Additional Integration Resources

Request: 2 additional integration developers for 6 weeks

Purpose: Support integration complexity and potential vendor transition

Cost: \$50,000

Approval Status: Approved

Approving Executive: Amanda Foster, COO

## **VENDOR GOVERNANCE**

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Vendor Review: TechGlobal Solutions (Primary Vendor)

Status: CRITICAL - Performance Issues

Performance Metrics: Failed delivery dates, resource quality below standards, communication issues

Issues: 3-week delivery delay, junior resources instead of senior, disputing responsibility

Action Items: Executive meeting May 28, penalty clauses activated, payment hold authorized, backup evaluation

Vendor Review: Alternative Supply Chain Vendors

Status: Evaluation in progress

Performance Metrics: TBD

Issues: None

Action Items: Complete evaluation by June 5, prepare transition plan if needed

## **RISK OVERVIEW**

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Current Risk Count: 4 (0 Mitigated, 2 Monitoring, 2 Active)

High Priority Risks: 2

Critical Risks: 0

Risk Trend: Increasing

### **Key Risks:**

- Vendor unable to recover lost schedule: Active - High
- Vendor resource quality below standards: Active - High
- Contract dispute: Monitoring
- Integration complexity: Monitoring

## **ACTION ITEMS FROM COMMITTEE**

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Action 1: Conduct vendor performance review meeting

Owner: Kevin Martinez, Program Manager

Due Date: May 28, 2026

Status: Scheduled

Action 2: Document all delay impacts for penalty calculation

Owner: Kevin Martinez, Program Manager

Due Date: May 30, 2026

Status: In Progress

Action 3: Evaluate backup vendor activation

Owner: Procurement Team

Due Date: June 1, 2026

Status: In Progress

Action 4: Update project timeline reflecting vendor delays

Owner: Kevin Martinez, Program Manager

Due Date: May 29, 2026

Status: In Progress

## **NEXT MEETING**

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Date: June 5, 2026

Time: 1:00 PM - 3:00 PM

Location: Operations Center Conference Room

Agenda: Vendor performance review outcome, backup vendor decision, timeline update, go/no-go on vendor relationship

REPORT SUBMITTED BY: Kevin Martinez, Program Manager

DATE: May 27, 2026